



VSEUS Weekly Economics Gazette Newsletter

Prepared by: Sebastian, Research Analyst

Date: August 8, Friday

Hello!

Welcome to this week's edition of the **VSEUS Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

Send us feedback to finance@vseus.ca!

Market Overview:

The North American markets remained strong despite Trump's tariffs. The S&P 500 (+2.4%) posted its best weekly gain since June, as investors' expectations for an interest rate cut in September increased. Similarly, the S&P/TSX Composite Index (+2.7%) recorded a very high performance.



Article 1: Canada Jobless Rate Steadies in July Even as Employment Pulls

Back

Author, Source & Date Published: Robb M. Stewart, WSJ, August 8, 2025

Link: [Reference](#)

Summary:

Canada's labor market has decreased significantly with a 40,800 job contraction, the steepest drop in the last 7 years with the exception of the pandemic.

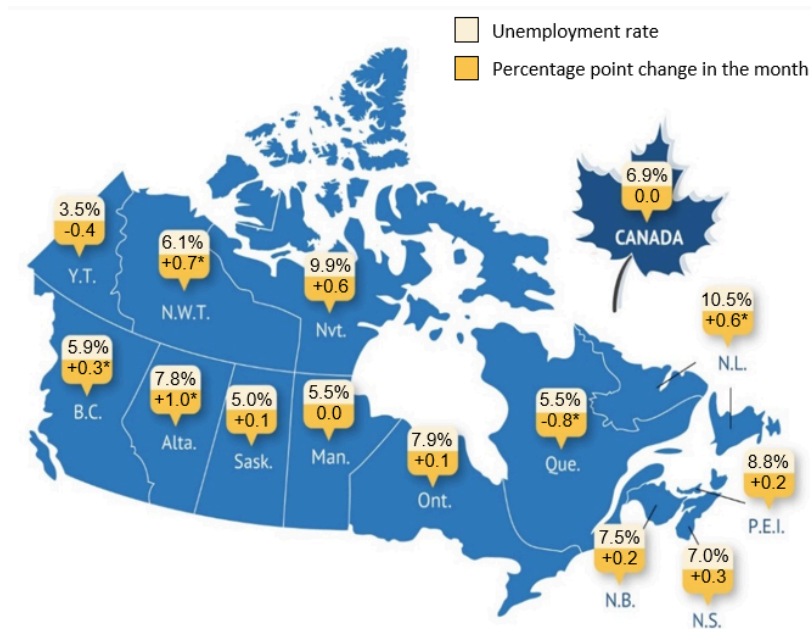
Key Takeaways:

- The unemployment rate remained steady at 6.9%. Under these circumstances, 40,800 jobs were cut, and the working force participation rate was also reduced. In other words, the unemployment rate remained constant, but not because the economy is doing well.
- The epicenter of the job cuts has been in the full-time private sector. Particularly, young professionals aged 15-24 have experienced a rough market, with a 14.6% unemployment rate¹. The hiring sentiment remains weak as employers seek to decrease their headcount.
- It is important to note that not all of the job cuts were evenly distributed among the different provinces. This July's job report showed a job contraction in Alberta (-17000) and British Columbia (-16000). On the other hand, Saskatchewan was able to create jobs (+3500). This shows how the different provincial economies are facing different constraints.
- The labor market remains very volatile as a consequence of regulatory uncertainty and trade policy. Overall, Canada's economy remains weak, and the biggest hit has been in manufacturing and trade exposed sectors. This is fueling expectations for an interest cut during the next BOC meeting.

¹ Unemployment rate: It is calculated considering the people that are unemployed from the total working force. The working force considers people that are employed or people that are actively looking for a job.



Vancouver School of Economics Undergraduate Society



Note(s): Statistically significant changes denoted with * symbol. Data are seasonally adjusted. Data for the territories are three-month moving averages and are not directly comparable with the provinces.
Source(s): Labour Force Survey (3701), tables 14-10-0287-02 and 14-10-0292-02.

Source: Statistics Canada, Labour Force Survey, July 2025.

<https://www150.statcan.gc.ca/n1/daily-quotidien/250808/mc-a001-eng.htm>

This material contains data licensed under the Open Government Licence of Canada.

Educational Angle:

The steep rise in youth unemployment hints at structural and cyclical drivers. Young workers often face more volatility during economic downturns and hiring pullbacks. However, is this solely a cyclical slowdown? It raises concerns that prolonged joblessness can have long-term impacts on earnings. It's critical for the future of Canada to reflect on the fragility in entry-level labor markets. In my opinion, the current youth unemployment level is a combination of the two forces, with a higher degree of a cyclical decline.



Article 2: Alberta Bolsters Canada-Mexico Energy Ties as Trump Upends Trade

Author, Source & Date Published: Alex Vasquez, Bloomberg, August 12, 2025

Link: [Reference](#)

Summary:

Canada seeks to strengthen its energy relationship with Mexico.

Key Takeaways:

- Dannielle Smith, Alberta's premier, visited Mexico with the intention of increasing energy exports to Mexico during unprecedented trade times. Alberta is able to export heavy oil and natural gas through the Trans Mountain pipeline. The transportation project, going from Edmonton to Burnaby, and its expansion costs, are estimated to be 34 billion dollars. This project envisions to supply LNG to the Asian tigers and diverge from the over reliance on the U.S.
- TC energy (TSE: TRP) and ATCO (TSE: ACO.X) are in the middle of these negotiations. Both companies have experience on energy projects in Mexico, and they could offer operational expertise when conducting energy exports.
- Mexico is heavily exposed to American energy supply, therefore, Canada is offering Mexico the means to protect their energy security². Canadian energy goods will allow Mexico to diversify and reduce the risk of energy supply disruption.

Educational Angle:

Students should take notice of how trade disruptions can catalyze realignment within and between nations, not just through macro deals, but also via regional initiatives. It illustrates that economic resilience relies on both public and private actors' collaboration.

² Energy Security: A country needs a reliable, affordable, and sustainable supply of energy. Almost all other productive activities rely on the use of energy. Any energy shortage will increase the price of energy, hence, it will increase the price of goods produced. In the economics literature, energy shocks are associated with stagflation (weaker growth and higher inflation).



Article 3: How One Big Private-Equity Fund Makes Its Numbers Incomprehensible

Author, Source & Date Published: Jonathan Weil, WSJ, August 13, 2025

Link: [Reference](#)

Summary:

Partners Group Private Equity, the largest SEC-registered private-equity fund, uses untransparent practices that don't allow investors to verify the investment's cost and its current market value.

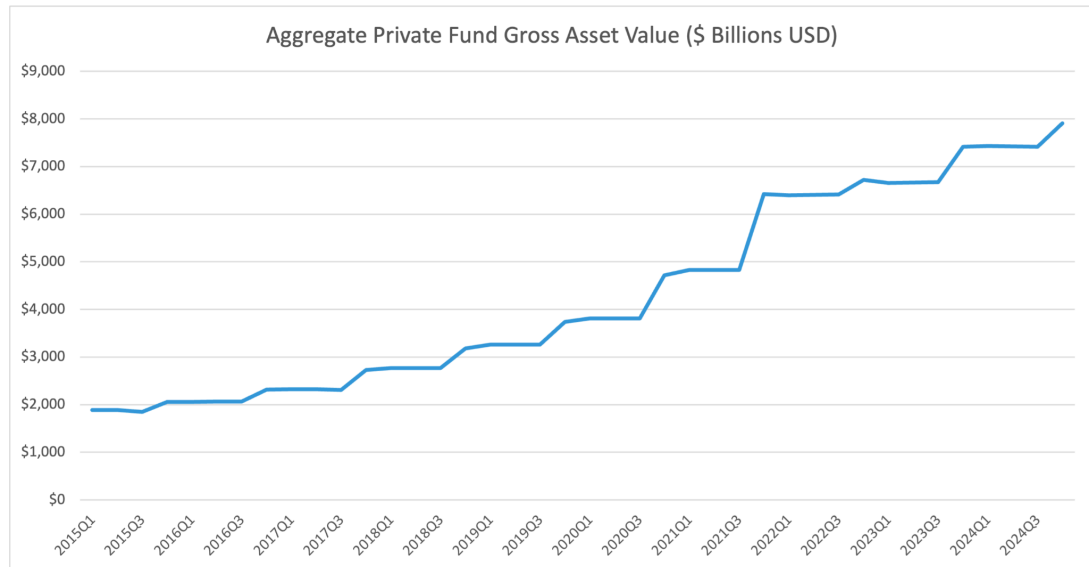
Key Takeaways:

- The Partners Group Private Equity reported 1,089 individual private-equity investments, however, it listed 1,095 different data points as costs. The costs were listed in a 3 page footnote, making it impossible for the investor to assess if their investments are generating positive returns or negative losses.
- The recent relevance of Private Equity funds³ increased with Trump's announcement that Americans could include this type of investment for their 401k retirement accounts.
- There are common PE practices that involve accounting profits, but not real cash profits in investors' accounts. For example, PE funds can invest in other PE funds and buy assets at a discount because the "selling" fund lacks liquidity, so they sell the assets at a low price. The "buying" fund instantly records in its books that they created a profit, because they bought an asset at discount, however, this profit money cannot be liquidated by the investors. This practice is problematic, because managers could earn high fees based on these inflated returns. This type of practice makes Private Equity risky and in some cases untransparent.

³ Private Equity Funds: Investment instruments that collect capital from investors to acquire private companies. They involve high risk and are highly illiquid. This type of investment tends to be reserved for institutional investors or high net worth individuals.



Vancouver School of Economics Undergraduate Society



U.S. Securities and Exchange Commission. (2025, August 4). Investment Management Data. Retrieved August 15, 2025, from U.S. Securities and Exchange Commission website: <https://www.sec.gov/data-research/investment-management-data>

Educational Angle:

Students need to be aware of the importance of clear and transparent information for investors. Investors need to have access to investment costs and the fair value estimate. Furthermore, if PE funds are going to become more accessible to the public, they will require more explicit reporting to better serve people's retirement needs .
